tunities or delayed diversification plans. Countries that were investing heavily in tourism, technology and non-oil sectors will now face a pause in confidence.

The longer the war continues, the higher the cost. And the effects will not be confined to the Gulf. Major energy importers—India, China, Japan—have already felt the pressure. Supply constraints and bottlenecks pushed prices up, with ripple effects across global markets. Markets may have reacted instantly, but the real economic pain comes later. The pandemic is a useful comparison: the deepest impacts were felt years after the initial shock. This war is likely to follow a similar pattern.

Tourism and events have already taken a hit. Major gatherings—from Formula One in Jeddah to some international conferences—have been postponed. These decisions are inevitable; large-scale events cannot proceed in the shadow of conflict. Saudi Arabia's long-term ambitions—Expo 2030, the 2034 World Cup—remain intact, but in the short to medium term, there will be disruption.

The broader question, however, is political: where does Saudi Arabia stand in this war? The answer is clear. This is not a war we wanted, advocated, or lobbied for. There has been speculation to the contrary, but it is incorrect. Saudi Arabia's position has been consistent: the primary concern is the chaos that could follow if the war is mishandled. The worst outcome would be a conflict that leaves Iran not weaker, but angrier and more aggressive. The desired outcome is straightforward in principle: an Iran incapable of harming its neighbours, whether through missiles, militias or nuclear capability. Whether that outcome is achieved through regime change or behavioural change is secondary. What matters is containment.

THE TAMING OF IRAN

What this war has demonstrated, however, is the nature of the Iranian regime. Indiscriminate attacks—on civilian areas in the UAE, Bahrain, and even Oman—underscore the extent of the threat. Oman, notably, has long been one of Iran's closest diplomatic partners, yet it too has been targeted. This is not just a regional issue. It is a global one. Energy markets, trade routes and economic stability are all at stake.

So, how do you achieve this "contained Iran"? There are only two paths: negotiation or force. Saudi Arabia's preference remains clear—diplomacy first. Multiple countries, including Oman and Pakistan, have stepped forward to mediate. Until every diplomatic avenue is exhausted, escalation is seen as counterproductive. Force is viewed as a last resort, not a first option. This is where the unpredictability of Iran becomes central. Unlike conventional states, the regime does not operate on standard cost-benefit logic. There is an ideological dimension that complicates deterrence. Threats alone may not achieve the desired outcome. Even more logical voices within, or that have formerly served the regime, such as former foreign minister Javad Zarif, were reprimanded for publicly voicing their concern and highlighting the devastating economic toll this war will have on Iran.

This also shaped Saudi Arabia's own military calculus. The question was not whether Saudi Arabia could join the fight; it already considered itself part of the conflict, given that it was being attacked. The question was what role it should play. From a strategic standpoint and up until this point, joining direct military operations alongside the United States and Israel would not have added meaningful firepower. Instead, Saudi Arabia's most significant contribution was stabilising global energy markets. That is not a passive role; it is a critical one. Ensuring supply continuity, maintaining infrastructure and providing logistical alternatives for neighbouring countries were all part of this effort. Escalating militarily would have risked exposing vital oil infrastructure, triggering a far greater global crisis. For us, the priority was clear: protect citizens and residents, and

SAUDI ARABIA

LAND AREA 2.14 MN SQ. KM	**POPULATION** 35.3 MILLION
INDIAN EXPATRIATES 2.74 MILLION (17% of expats in Saudi Arabia)	**REMITTANCES TO INDIA** $8 BILLION (6.7% of total inflows)
GDP $1,239.8 BILLION	**OIL RENTS*** 23.7%

THE DAMAGE

NO. OF MISSILE/ DRONE ATTACKS 1,100+	**KILLED/ WOUNDED** 2/ 22
REVENUE AND INFRA LOSSES $10 BILLION	**GDP GROWTH DOWNGRADE** 1.2 % POINTS

KEY FACILITIES HIT

● Al-Jubail oil facility/refinery ● SATORP refinery (Jubail Industrial City) ● SAMREF refinery (Yanbu) ● Aramco oil refinery (Ras Tanura) ● Prince Sultan airbase

*economic surplus generated from oil production, as % of GDP

